25900300 **MAHATMA GANDHI UNIVERSITY, KOTTAYAM**

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Core Course (DSC) - MG3DSCCOM200 – FINANCIAL ACCOUNTING

(2024 ADMISSION ONWARDS)

Maximum Marks: 70 Duration: 2 Hours

Scheme For Valuation

Part A

Very Short Answer Questions **Answer any 12 questions**

Each question carries **1 mark**

1. Capital A/c -----Dr.
   To Profit and Loss A/c
2. Deducted from Sundry Debtors and Sundry Creditors
3. Conservatism / prudence
4. Ministry of Corporate Affairs
5. Regulatory Framework
6. Independent Basis (Separate Accounts) and Columnar/ Tabular Basis
7. Departmental Accounting
8. Interdepartmental Transfer
9. Cash A/c ------Dr.
   To Sundry Debtors A/c
10. Dependent Branch does not maintain its own books of accounts independently. (does not keep full system of accounting)
11. Branch Expenses Account **or** Branch Profit and Loss Account
12. Goods in Transit A/c -----Dr.
    To Branch A/c
13. Unrecovered short working is Transferred to Profit and Loss Account (Irrecoverable short workings shall be written off against Profits)
14. Rs 96,000

Part B

Short Answer /Problem type Questions Answer any 4 questions

Each question carries 7 marks

15. The Accounting Standards Board (ASB), constituted by the Institute of Chartered Accountants of India (ICAI), follows a systematic procedure for formulating and issuing Accounting Standards (AS) in India. The process ensures transparency, consultation, and participation from all stakeholders.
    1. Identification of Areas
    2. Constitution of Study Groups and Drafting
    3. Review and Revision – Consultation Stage

    The draft is circulated to government departments, regulators (like SEBI, RBI), industry associations, and other stakeholders for consultation. This step ensures that the standard is practical and acceptable to all sectors of the economy.

    5. Exposure Draft Stage

    Based on the feedback, the ASB issues an Exposure Draft of the proposed standard for public comments. The Exposure Draft is published on the ICAI website and circulated widely so that the public and professionals can provide suggestions and objections.

    6. Review and Finalisation

7. Approval and Issue

Consultation with regulators (SEBI, MCA) and industry experts ensures the standards are legally compliant and practically implementable. Exposure Drafts (Eds) are preliminary of the standard published for public comment, ensuring transparency, incorporating feedback from all stakeholders (preparers, users, auditors), and increasing the acceptability of the final standard.

16. T**rading Account (5 marks for treatment of items and 2 marks for Gross Profit)**

Particulars		Amount	Particulars		Amount
Opening Stock		1,50,000	Sales *	12,66,000	
Purchases	10,50,000		Less : Returns	20,000	12,46,000
Less: Returns	10,000	10,40,000	Closing Stock		95,000
Wages		4,000			
Carriage Inwards		2,000			
Freight Inwards		3,000			
Gross Profit C/d		1,42,000			
		13,41,000			13,41,000

*Sales= Cash Sales + Credit Sales

17. **3.5 marks each for two cases**

Case 1: Unrealised profit = 25% on Cost

Since 50% of goods remain unsold = Closing stock portion (cost)= 50% of ₹40,000 = ₹20,000

Therefore, **Unrealised Profit = 25% of ₹20,000 = ₹5,000 (1.5 marks)**

Journal Entry : General Profit & Loss A/C-------- Dr 5000

To Stock reserve 5000 (1 mark)

In the Balance Sheet, Stock Reserve ₹5,000 is shown as a deduction from closing stock of Department Y. **(1 mark)**

Case II: Unrealised profit = 20% on Sales

Closing stock portion = ₹ 24,000

Therefore, **Unrealised Profit = 20% of ₹ 24,000 = ₹ 4,800 (1.5 marks)**

Journal Entry : General Profit & Loss A/C------- Dr 4800

To Stock reserve 4800 (1 mark)

In the Balance Sheet, Stock Reserve ₹4800 is shown as a deduction from closing stock of Department B. (1 mark)

18. Major Accounts as per Stock and debtors System **(3 marks for any 6 accounts and 4 marks for explanation or format)**

1. Branch Stock Account
2. Branch Debtors Account
3. Branch Expenses Account
4. Branch Adjustment Account
5. Branch Profit and Loss Account
6. Goods Sent to Branch Account
7. Branch stock reserve Account (Explanation needed)

19. The Total difference between Branch account and Head office account is 5000(32000-27000).

Out of the total difference Rs 3000 is from Goods in Transit (24000-21000)

Therefore, Cash in transit = 5000 – 3000 =2000 **(3 marks for calculation)**

Adjusting entry : in the books of HO **(2 marks)** Goods in transit A/c ---dr Cash in transit A/c ------dr To Branch A/c	 3000 2000	 5000
Adjusting entry : in the books of Branch **(2 marks)** Goods in transit A/c ---dr Cash in transit A/c ------dr To Head office A/c	 3000 2000	 5000

20. **Analysis Table (Optional)**

Year	Royalty	Minimum Rent	Short workings	Surplus	S/w recouped	S/w not recouped	S/w c/d	Amt to Lessor
20xx	1500	2000	500			0	500	2000
20xx	1800	2000	200			0	700	2000
20xx	2750	2000		750	700	0	0	2050

Short working A/c

Date	Particulars	Amount	Date	Particulars	Amount
	To Minimum rent or Ram	500		By Bal c/d	500
		500			**500**
	To Bal b/d	500		By Bal c/d	700
	To Minimum rent or Ram	200			
		700			**700**
	To Bal b/d	700		By Ram	700
		700			**700**

(4 marks for correct posting of items and 3 marks for calculations – ie 3 marks shall be awarded if the short working figures are correctly calculated in the analysis table)

Part C

Essay/Problem type Questions Answer any 2 questions.

Each question carries 15 marks

(Mark break-up given for each question given at the end of the answer)

21. *Note: Since there is mismatch in the items and amount on account of alignment issues in the Question paper, this question shall be valued liberally. Check the treatment of each item in Trial balance & adjustment and give marks if the treatment and procedure is correct. Arithmetical Accuracy issue shall be ignored*

Trading and Profit & Loss a/c of Shri Sahodaran for the year ended 31.03.20xx

Particulars		Rs.	Particulars		Rs.
To Opening Stock		25,000	By Sales		1,10,000
To Purchases		85,000	By Closing Stock		32,000
To Wages	2,000				
Add : Outstanding	500	2,500			
To Gross Profit c/d		**29,500**			
		1,42,000			1,42,000
To Depreciation			By Gross Profit b/d		29,500
Building	1500		By Commission	7,500	
Furniture	750		Less : Commission Received		
Motor Van	5,000	7,250	in Advance	800	6700
To Interest on Loan	900				
Add : Outstanding	900	1,800			
To Establishment Expenses		15,000			
To Insurance	1,000				
Less : Prepaid	300	700			
To Provision for Bad Debt		1,405			
To Net Profit Transferred to Capital A/c		**10,045**			
		36,200			36200

Balance Sheet of Shri Sahodaran as at 31.03.20xx

Liabilities		Rs.	Assets		Rs.
Current Liabilities			**Current Assets**		
Creditors		10,000	Closing Stock		32,000
Outstanding Wages		500	Debtors	28100	
Commission Received in advance		800	Less : Provision	(1,405)	26,695
Outstanding Interest		900	Cash at Bank		20,000
Non-Current Liabilities			Prepaid Insurance		300
Capital	1,05,000		Input CGST		900
Less: Drawings	(18,000)		Input SGST		4,100
Add : Net Profit	10,045	97,045	**Non – Current Assets**		
Loan from Mr. A		15,000	Buildings	15,000	
			Less: Depreciation	1500	13,500
			Furniture and Fittings	7,500	
			Less: Depreciation	750	6,750
			Motor Van	25,000	
			Less: Depreciation	5,000	20,000
		1,24,245			1,24,245

Working Note:

1. Interest on Loan 15,000x12/100 = Rs.1,800
2. Interest Paid Rs. 900, Outstanding Interest = 900

Statement Showing set off of Input GST

Particulars	IGST	CGST	SGST
Out put GST (Cr)	(8000)	(6,000)	(6,000)
Input GST(Dr)	4800	10,100	10,100
Balance	(3,200)	4,100	4100
Set off Against Input CGST	3,200	(3,200)	-------
Balance Receivable	Nil	900	4,100

Mark break up- Trading account- 4 marks , Profit and Loss account items- 4 marks, GST calculation procedure- 2 marks ; Balance Sheet- 5 marks

22. **Hyderabad Branch**

By Balance b/d		Stock reserve (opening stock)	8000
Branch stock	32000	Goods sent to Branch	8000
Branch Petty cash	1000	Goods sent to Branch (Load)	31250
Branch Debtor's	25000	Bank (Cash sales)	55000
Branch Furniture	15000	Collected from debtors	100000
		Balance b/d	
		Branch Stock	20000
Goods sent to Branch	133000	Branch Petty cash	700
Bank		Branch Debtor's	27000
Salary	4000	Branch Furniture	12000
Rent	3000		
Petty cash	1000		
Stock reserve (closing stock)	5000		
Expenses outstanding	1000		
General P&L	41950		
	261950		**261950**

Branch Debtors Account

Balance b/d	25000	Bank	100000
Sales	105000	Sales return	2000
		Discount allowed	1000
		Balance c/d (Bal:fig)	**27000**
	130000		130000

Branch Furniture Account

Balance b/d	15000	Depreciation	3000
		Balance c/d (Bal:fig)	**12000**
	15000		15000

Calculation of closing balances of Petty cash

Opening Petty cash	1000
Add Received from H.O	1000
	2000
Less Petty expenses met by Branch Manager	1300
Closing Petty cash	**700**

Working Note for loaded price

Let cost = 100%, profit is 33.33%

Therefore invoice price= 133.33% , So profit = 33.33/133.33 or ¼ on invoice price.

1	Opening Stock(32000*33.33/133.33) or 1/4	8000
2	Net Goods sent to Branch*33.33/133.33 Net goods sent to branch=Goods received from H.O-Goods return by Branch(133000-8000=125000 Loaded =125000*33.33/133.33	31250
3	Closing stock (20000*33.33/133.33)	5000

Calculating the balances of debtors, petty cash and furniture by way of account or statements- 2+1+1 = 4 marks
Calculation of loading/ stock reserves- 3 marks
Treatment of items in the branch account- 6 marks and profit calculation – 2 marks

23. Departmental Trading and Profit & Loss Accounts

Particulars	Electronics (₹)	Furniture (₹)	Particulars	Electronics (₹)	Furniture (₹)
To Opening Stock	8,00,000	12,00,000	By Sales	70,00,000	85,00,000
To Purchases	45,00,000	60,00,000	By Closing Stock (A)	10,00,000	15,00,000
To Wages	4,00,000	5,00,000			
To Carriage Inwards	1,50,000	2,00,000			
To Gross Profit c/d	**21,50,000**	**21,00,000**			
Total	**80,00,000**	**1,00,00,000**	**Total**	**80,00,000**	**1,00,00,000**
To Rent (Apportioned)	2,00,000	3,00,000	By Gross Profit b/d	21,50,000	21,00,000
To Advertising (Apportioned)	1,20,000	1,80,000			
To Depreciation (B)	-	2,25,000			
To Net Profit c/d	18,30,000	13,95,000			
Total	21,50,000	21,00,000	Total	21,50,000	21,00,000

General Profit and Loss Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Salaries (Adjusted)	7,50,000	By Net Profit (Electronics)	18,30,000
		By Net Profit (Furniture)	13,95,000
To Final Net Profit (Transferred to Capital A/c)	**24,75,000**		
Total	**32,25,000**	**Total**	**32,25,000**

Adjusted General Expenses

Expense	Trial Balance (₹)	Adjustment (₹)	Adjusted Amount (₹)
Salaries	7,00,000	Add: Outstanding 50,000	7,50,000
Rent	6,00,000	Less: Prepaid (1,00,000)	5,00,000
Advertising	3,00,000	-	3,00,000

B. Depreciation Calculation (Furniture Dept.)

Asset Group	Cost (₹)	Period	Rate	Depreciation (₹)
Opening Balance	20,00,000	12 months	10%	2,00,000
New Assets	5,00,000	6 months (1/10/23 to 31/3/24)	10%	25,000
Total Depreciation				2,25,000

Inclusion /calculation of items and preparation of Trading account- 6 marks, Inclusion/calculation of items and apportionment in Departmental P/L account- 7 marks – General Profit and Loss account- 2 marks